Macroeconomics: GDP and Fiscal Policy

Subject: Economics

Gross Domestic Product (GDP)

GDP is the total monetary value of all final goods and services produced within a country's borders during a specific period. It is the primary indicator of an economy's health and can be measured via the expenditure, income, or production approaches.

Components and Formulas

Expenditure approach: $GDP = C + I + G + (X - M)$
C = Private consumption
I = Business investment
G = Government spending
X-M = Net exports (exports minus imports)
Fiscal Multiplier: $dY = \text{Multiplier} \times dG$
Multiplier: $1 / (1 - MPC)$
Budget deficit: $G - T$

Fiscal Policy

• Expansionary Policy: Increase government spending or cut taxes to stimulate economic growth during recessions. Leads to higher deficits in the short run.
• Contractionary Policy: Reduce spending or raise taxes to cool an overheating economy and curb inflation.
• Crowding Out: Government borrowing can raise interest rates, displacing private investment.
• Automatic Stabilizers: Built-in mechanisms (e.g., unemployment insurance) that moderate economic swings without new legislation.

Exam Topics

1. Define and calculate GDP using the expenditure approach.
2. Distinguish between nominal and real GDP.
3. Explain the fiscal multiplier effect with an example.
4. When should a government use expansionary vs. contractionary fiscal policy?
5. What is crowding out and how does it limit fiscal policy effectiveness?